The margin call requires us to top up the account to US$30,000 or the position will be forcefully shut down. A margin call is not something that you want happening to you and proper cash management will prevent that from ruining your day. Don't ever put yourself in a situation where you may receive an unexpected margin call. Keep enough cash on the account to cover even quite large swings against you.

If you have a mandate or fund denominated in US dollars and you only trade on American exchanges, the cash situation is very straightforward. Of course, for most of us this is just not the case and you are likely to find yourself involved in five to ten currencies, depending on how many countries you want to trade in. You then face the added practical task of making sure each current account is properly funded as well as managing the currency exposure that this may entail.

But then again, no one is saying that you should keep all your cash lying around in some brokerage account. This is both a waste of money and an unnecessary risk. The risk here can be summarised in two words: Lehman Brothers. Although the failure of that unfortunate investment bank was the most spectacular, the same thing has happened to many others before and after. Many otherwise successful futures trading houses got burned in a big way on the MF Global implosion and there are no reasons to believe that these large blow-ups were the only ones masking horribly irresponsible companies behind smoke and mirrors. More spectacular failures of banks and brokerage houses are likely to come and it is not easy to predict who they will be.

If you hold stocks or bonds with a bank or broker when it suddenly goes bankrupt, it will be a messy and painful experience, but you and your investors will most likely get the stocks and bonds back in the end, because they are held directly under the account holder's name. When it comes to cash, however, the story is quite different. I am sure that if you have made it this far you are already quite aware of how fractional reserve banking works and why the money you think you have in your bank is not actually there. The details of this system and its merits and hazards are not a topic in this book, but the short and simplified story is that all cash coming into a bank goes into the same big old pile of money as everyone else's, to be lent out to people who go and buy things from people who put the money back into the bank to be lent out again.

Imagine that you find US$1,000 hidden in a mattress and you go to your local bank and deposit it in your savings account. The bank then keeps a fraction of that money in the bank, as required by law, and lends the rest out to someone. Now assume it lends out US$900 of your money to